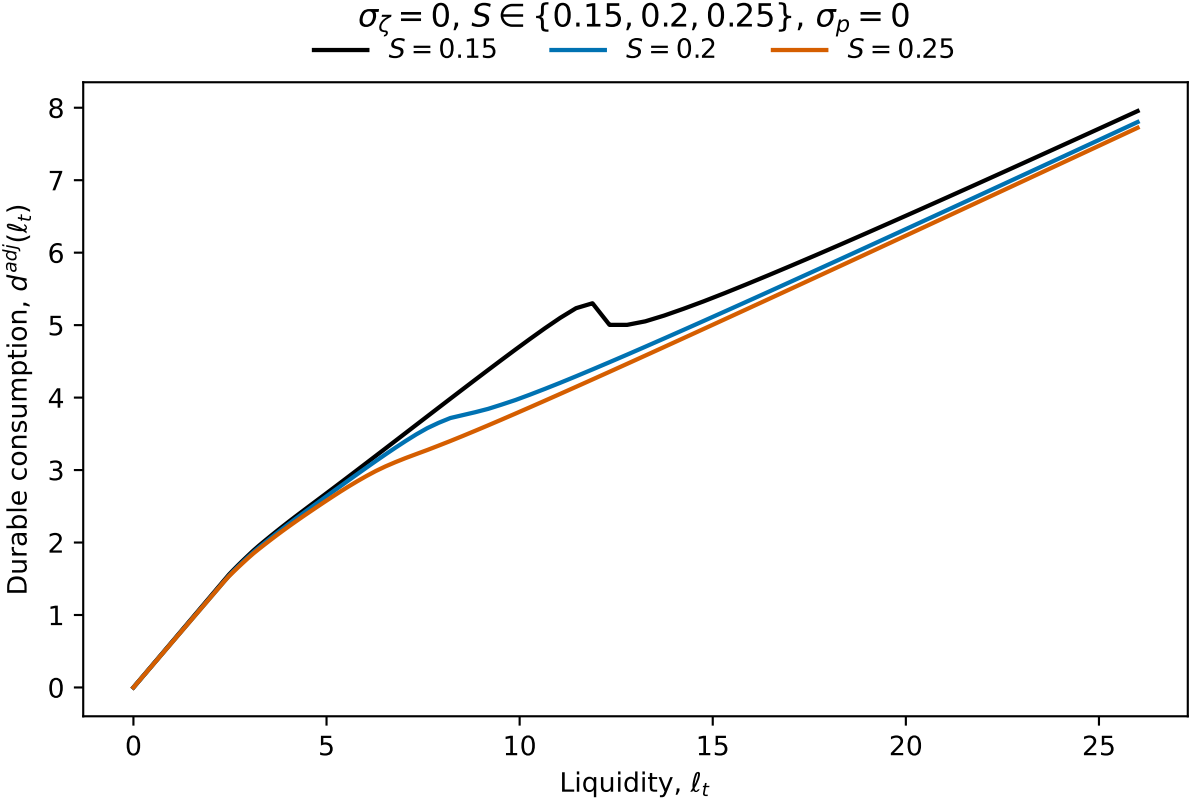
$\sigma_\zeta = 0$, $S \in \{0.15, 0.2, 0.25\}$, $\sigma_p = 0$
$S = 0.15$
$S = 0.2$
$S = 0.25$
Durable consumption, $d^{adj}(\ell_t)$
Liquidity, ℓ_t
0
1
2
3
4
5
6
7
8
0
5
10
15
20
25